



The Talent Partner Unlocking Tomorrow's Workforces

Retail Banking, KYC & Financial Crime Foundations

Day 2 - AML, TF& Financial Crime Red Flags

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Financial Crime & AML Fundamentals

An introduction to financial crime typologies, AML compliance, and the risk-based approach — designed for banking professionals.



Identify
financial crime
risks



Understand
AML requirements
and expectations



Recognize
key red flags



Apply
a risk-based
approach



SECTION A –
AML
FUNDAMENTALS



What Is Financial Crime?

Illegal activities that abuse the financial system for criminal purposes.



Definition

Financial crime refers to illegal activities that involve the abuse of the financial system to generate, move, hide or use funds for criminal purposes.



Key Characteristics

- Involves illicit funds or criminal intent
- Uses legitimate financial products and services
- Can be domestic or cross-border
- Involves individuals, businesses or organized crime groups
- Can result in significant financial, legal and reputational impact

Common Types of Financial Crime



**Money
Laundering**



**Terrorist
Financing**



Fraud



**Bribery &
Corruption**



**Sanctions
Violations**

COMPLIANCE
INVESTIGATION
RISK MANAGEMENT

Why Banks Fight Financial Crime?



Protect the Financial System

- Safeguard the integrity, stability and proper functioning of the banking system
- Maintain trust and confidence in financial markets



Comply with Legal & Regulatory Obligations

- Meet requirements under BSA/AML, CFT and other applicable laws
- Fulfill supervisory expectations (e.g., FinCEN, OCC, FRB, FDIC)



Prevent Product Misuse

- Ensure banking products and services are not exploited for illicit purposes
- Identify and stop criminal activity through effective monitoring and controls



Support Law Enforcement and Safer Communities

- Provide timely and accurate reporting of suspicious activity (e.g., SAR, CTR)
- Help combat money laundering, terrorist financing and other financial crimes
- Contribute to safer communities



**STRONGER
BANKS**



**SAFER
MARKETS**



**STRONGER
COMMUNITIES**



Understanding Common Financial Crimes

Key types of financial crime relevant to U.S. banks.



Money Laundering

- Conceals the proceeds of criminal activity
- Attempts to make illicit funds appear legitimate
- Uses complex transactions and layers



Terrorist Financing

- Provides funds or financial support to terrorists or terrorist organizations
- Funds can be from legitimate or illicit sources
- May involve small amounts and various transaction types



Fraud

- Intentional deception to obtain a financial benefit
- Includes identity theft, account takeover, payment fraud and loan fraud
- Causes financial losses to customers and banks



Bribery & Corruption

- Offering, giving, receiving or soliciting something of value to gain an improper advantage
- Can involve public officials or private individuals
- Often used to win business or influence decisions



Sanctions Violations

- Dealing with individuals, entities or countries subject to U.S. sanctions
- Involves prohibited transactions, services or support
- Can include circumen through third parties

What Is Money Laundering & Why Criminals Launder Money?



What Is Money Laundering?

Money laundering is the process of disguising the proceeds of crime to make them appear legitimate in the financial system.



Proceeds of Crime

Funds generated from illegal activities such as fraud, drug trafficking, corruption and other criminal offenses.

The Money Laundering Process



Placement

Introducing illicit funds into the financial system.



Layering

Moving funds through multiple transactions to obscure the origin.



Integration

Funds appear legitimate and are used in the economy.

Why Criminals Launder Money?



Hide the illegal source of funds



Use the money freely without detection



Preserve and grow criminal wealth



Fund further criminal activities



Avoid legal consequences

Predicate Crimes and Sources of Illicit Funds

Money laundering is driven by funds generated from a wide range of criminal activities.

Common Predicate Crimes

Criminal activities that generate illicit proceeds, which can be laundered into the financial system.

-  Drug Trafficking
-  Human Trafficking
-  Fraud (e.g., investment, wire, identity)
-  Corruption (e.g., bribery, embezzlement)
-  Terrorist Financing
-  Tax Evasion
-  Cybercrime (e.g., ransomware, online scams)
-  Illegal Trade (e.g., wildlife, counterfeit goods)
-  Other Serious Crimes

Sources of Illicit Funds

Proceeds from predicate crimes and other unlawful activities that enter the financial system.

-  **Cash Proceeds**
Physical currency from criminal activity
-  **Proceeds from Fraud**
Scams, financial fraud, identity theft
-  **Proceeds from Corruption**
Bribes, kickbacks, embezzlement
-  **Proceeds from Illicit Trade**
Illegal goods and services
-  **Proceeds from Cybercrime**
Ransomware, online fraud, hacking
-  **Proceeds from Human Trafficking**
Exploitative labor or commercial sex
-  **Proceeds from Organized Crime**
Various criminal enterprises
-  **Other Unlawful Sources**
Any activity generating criminal proceeds

**FINANCIAL CRIME
INVESTIGATION**

EVIDENCE
ANALYSIS
ILLICIT FUNDS
PROCEEDS
COMPLIANCE

Three Stages of Money Laundering — Placement, Layering & Integration

Criminals move illicit funds through a series of steps to disguise the source, create complexity and make the money appear legitimate.



1. PLACEMENT

Introducing illicit funds into the financial system

- Criminals place cash or other illicit proceeds into a bank or financial institution.
- Often done in smaller amounts to avoid detection (structuring).
- Can involve cash deposits, purchase of monetary instruments (e.g., cashier's checks), or use of third parties.
- Goal: Move dirty money from the criminal environment into the legitimate financial system.

Example (U.S.)

Smurfing cash deposits below the \$10,000 CTR threshold at multiple bank branches.



2. LAYERING

Moving funds through multiple transactions to obscure the origin

- Funds are moved through multiple accounts, institutions, and countries.
- Use of complex transactions such as wire transfers, shell companies, trade-based activity, or conversion to different assets (e.g., virtual currencies, securities).
- Creates layers of transactions to make it difficult to trace the original source of funds.
- Goal: Break the audit trail and distance the funds from the criminal source.

Example (U.S.)

Funds are wired from a U.S. account to shell companies in multiple countries, then converted to cryptocurrency and moved again.



3. INTEGRATION

Reintroducing funds into the legitimate economy

- Funds are brought back into the economy looking legitimate.
- Used to purchase assets such as real estate, businesses, luxury goods or investments.
- May be commingled with legitimate funds to further conceal the source.
- At this stage, the funds appear to be from a legitimate source.
- Goal: Enjoy the proceeds of crime with minimal risk of detection.

Example (U.S.)

Using laundered funds to buy commercial real estate in the U.S. through a shell company.



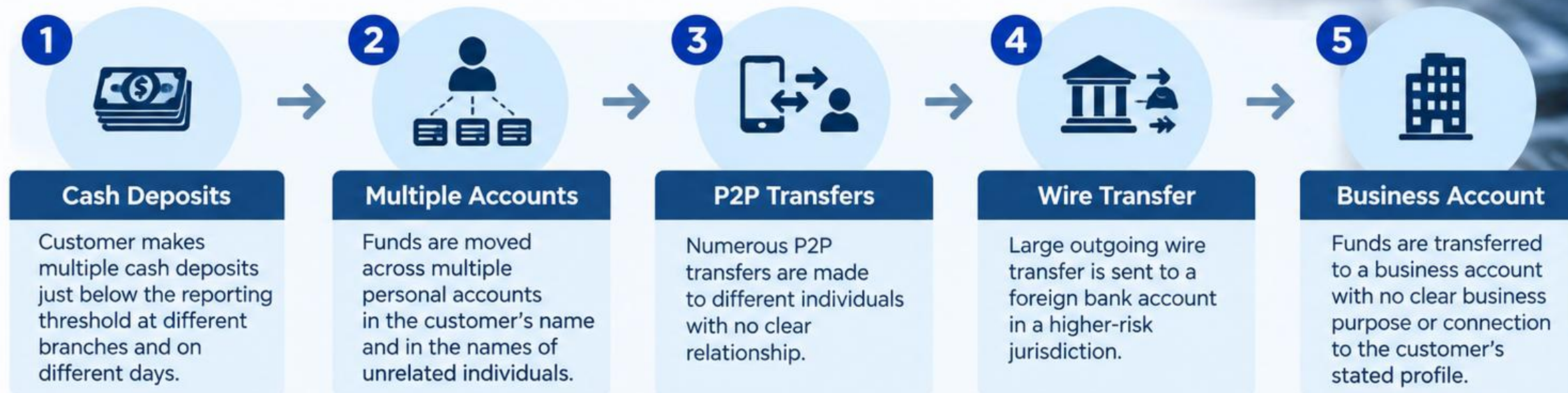
Key Takeaway

Money laundering is a process, not a single transaction. FinCrime analysts must look for red flags across all three stages to detect and disrupt illicit financial activity.



Money Laundering Example

This example shows how a customer may move funds through different channels to layer the money and make it difficult to trace the source.



Key Red Flags in This Example

- | | |
|---|--|
| 1 Unusual cash deposits just below reporting threshold. | 4 Numerous P2P transfers to unrelated individuals. |
| 2 Multiple accounts used with no clear relationship. | 5 Large outgoing wire to a higher-risk country. |
| 3 Rapid movement of funds between accounts. | 6 Activity inconsistent with the customer's profile. |



Follow the complete flow of funds — not just one transaction.

Common Techniques for Money Laundering

Criminals use a variety of methods to move, disguise and legitimize illicit funds.



Structuring

Breaking large amounts into smaller transactions to avoid detection and reporting thresholds (e.g., CTR).

Example (U.S.)

Depositing \$9,000 multiple times to stay below the \$10,000 CTR threshold.



Use of Shell Companies

Creating fake or front companies with no real business activity to move and layer funds.

Example (U.S.)

A shell company is used to receive wired funds and then transfer them to other accounts.



Trade-Based Money Laundering (TBML)

Exploiting international trade by misrepresenting goods, services or values (e.g., over/under invoicing).

Example (U.S.)

Inflating the invoice value of imported goods to move funds out of the country.



Layering Through Multiple Accounts

Moving funds through multiple bank accounts, institutions and countries to obscure the audit trail.

Example (U.S.)

Funds are transferred through several domestic and foreign accounts in a short period.



Use of Cash-Intensive Businesses

Mixing illicit cash with legitimate business receipts to make funds appear legal.

Example (U.S.)

Using a restaurant, car wash or retail store to deposit criminal proceeds as sales revenue.



Real Estate Transactions

Using property purchases, sales or rentals to invest and legitimize illicit funds.

Example (U.S.)

Purchasing a high-value property in cash or through a shell company.



Use of Luxury Goods and Investments

Buying high-value assets such as luxury vehicles, art, jewelry or investments to store and legitimize value.

Example (U.S.)

Purchasing luxury cars or art through intermediaries and later selling them.



Use of Third Parties and Money Mules

Involving individuals or businesses to move funds on behalf of criminals, often without knowing the true source.

Example (U.S.)

Recruiting individuals to open bank accounts and move funds (money mules).



Key Takeaway

Money launderers use multiple techniques, often in combination. FinCrime analysts should look for unusual activity, inconsistencies and red flags that may indicate these methods.



FINANCIAL CRIME
INVESTIGATION

FOLLOW
THE MONEY

- ☒ TRANSACTIONS
- ☒ ACCOUNTS
- ☒ BENEFICIAL OWNERSHIP
- ☒ PATTERNS
- ☒ RED FLAGS

SECTION B –
**INTRODUCTION TO
TERRORIST
FINANCING**



What Is Terrorist Financing?

Terrorist financing is the provision, collection or use of funds, directly or indirectly, to support terrorist acts, terrorist organizations or individuals who engage in terrorism.



Purpose

- To support the planning, preparation and execution of terrorist acts.
- To fund terrorist organizations, individuals or networks.
- To cover a wide range of activities such as recruitment, training, travel, procurement of weapons, propaganda and operational expenses.
- Funds can also be used to support associated activities, including facilitation, safe houses and logistics.



Sources of Funds

- Can come from legitimate sources such as personal savings, business income or donations.
- Can also come from illegitimate sources such as criminal activities (e.g., drug trafficking, fraud, extortion or kidnapping).
- May include small amounts collected from many individuals (e.g., through charities or online campaigns).
- Funds can be raised, moved or stored domestically or internationally using formal or informal channels.



Who Can Be Involved?

- Terrorist organizations and their leaders or members.
- Individuals who support or facilitate terrorism (e.g., family members, associates or sympathizers).
- Charities, non-profit organizations or front organizations (knowingly or unknowingly).
- Businesses and commercial entities.
- State sponsors or entities acting on behalf of a state.
- Individuals or entities that provide material support, including financing, goods, services or expertise.



Money Laundering vs. Terrorist Financing?

Both involve the movement of funds, but they differ in purpose, sources of funds and intent.



Money Laundering (ML)

To conceal the illegal origin of funds and make them appear legitimate.

Proceeds from criminal activities (e.g., drug trafficking, fraud, corruption, cybercrime).

To disguise the source, ownership and control of criminal proceeds.

Often larger, based on criminal proceeds (e.g., thousands to millions of dollars).

Layering through complex transactions, shell companies, trade-based schemes, correspondent banking, etc.

Funds are integrated into the legitimate economy for personal or organizational benefit.



Purpose



Source of Funds



Intent



Typical Amounts



Methods



End Use



Terrorist Financing (TF)

To provide, collect or use funds to support terrorist acts, terrorist organizations or individuals who engage in terrorism.

Can come from legitimate sources (e.g., personal savings, donations, businesses) or illegitimate sources (e.g., criminal activities).

To fund terrorist activities or support terrorist organizations, regardless of whether the funds are from legal or illegal sources.

Often smaller amounts, sometimes structured as many small transactions (e.g., hundreds or thousands of dollars).

Use of informal value transfer systems, cash couriers, charitable organizations, front companies, and online platforms.

Funds are used to plan, facilitate or carry out terrorist acts, recruit members, purchase equipment or provide operational support.

**FINANCIAL
CRIME**



Sources of Terrorist Financing?

Terrorist organizations can obtain funds from a variety of legitimate and illegitimate sources. These funds are often smaller in value compared to money laundering but can still pose a significant risk.



Personal Funds

- Use of personal savings by terrorist supporters or members.
- Income from legitimate businesses owned by supporters.
- Funds provided by family members, friends or sympathizers.



Donations

- Donations from individuals who support the cause.
- Contributions through charities or non-profit organizations (legitimate or bogus).
- Use of humanitarian or religious appeals to raise funds.
- Crowdfunding campaigns, including online platforms.



Criminal Activities

- Extortion and protection money.
- Kidnapping for ransom.
- Smuggling (e.g., drugs, weapons, human smuggling).
- Illicit trade in natural resources (e.g., oil, diamonds, gold).
- Fraud, counterfeiting and other illegal activities.



State Support

- Financial, logistical or material support from state sponsors of terrorism.
- Support provided directly or through proxies.
- Use of state-controlled entities or front organizations.



Other Sources

- Proceeds from legitimate trade or commercial activities used to fund terrorism.
- Misuse of cash couriers and informal value transfer systems (e.g., hawala).
- Diversion of funds from legitimate aid, grants or development projects.
- Use of digital methods, including online fundraising and virtual assets (e.g., cryptocurrencies).

TERRORISM FINANCING

Movement of Terrorist Funds

Terrorist funds can move through various methods and channels, often using legitimate financial systems to make detection more difficult.



Collection (Raising Funds)

- Funds are collected from various sources, including legitimate and illegitimate channels.
- May include personal donations, online fundraising, charitable contributions, criminal activities or state support.
- Can be collected in cash or through formal financial channels.



Layering (Moving Funds)

- Funds are moved through multiple transactions and channels to obscure the source, origin and destination.
- Methods include wire transfers, use of money service businesses (MSBs), trade-based transactions, prepaid cards or digital currencies.
- Often involves movement across multiple jurisdictions.



Integration (Accessing and Using Funds)

- Funds are introduced into the legitimate economy to be used for terrorist activities.
- May be used to purchase goods and services, pay for travel, acquire weapons or cover operational expenses.
- Can also be used to support recruitment, training and other long-term activities.



Channels Used (Movement Methods)

- Formal banking system (domestic and international transfers).
- Hawala and other informal value transfer systems.
- Cash couriers and physical transport of cash.
- Trade-based methods (e.g., over- and under-invoicing).
- Use of shell companies, front businesses and trusts.
- Digital payment platforms and cryptocurrencies.

Charities/NPOs and Potential TF Exposure?

Charities and non-profit organizations (NPOs) play an important role in society, but they can be misused by terrorist organizations to raise, move or use funds for terrorist purposes.



Why Charities/NPOs Are at Risk

- Often receive funds from a wide range of donors, including the public.
- Operate in high-risk regions where terrorist groups may have a presence.
- May work with local partners or intermediaries, increasing the risk of diversion of funds.
- Can be exploited due to perceived legitimacy and public trust.
- May have complex operating structures and less robust controls compared to commercial entities.



How They Can Be Misused

- Diversion of donations to support terrorist activities.
- Use of charitable projects as a cover to move funds.
- Inflated invoices or fake projects to siphon funds.
- Support to individuals or entities linked to terrorist groups under the guise of humanitarian aid.
- Use of legitimate NPOs or creation of fake charities (shell NPOs) to raise and move funds.



Key Risk Indicators for FinCrime Analysts

- Donors, beneficiaries or partners located in or linked to high-risk jurisdictions.
- Unusual or high-volume donations inconsistent with the NPO's profile.
- Rapid movement of funds to foreign locations.
- Lack of transparency on beneficiaries or project details.
- Use of cash, informal value transfer systems or third parties.
- Connections to individuals or entities on sanctions lists or known for terrorist links.



Analyst Considerations

- Apply enhanced due diligence (EDD) for higher risk NPOs.
- Understand the NPO's mission, operations, funding sources and geographic focus.
- Review transaction activity for consistency with the stated purpose.
- Screen donors, beneficiaries and counterparties against sanctions lists.
- Monitor for structuring, unusual patterns or activity inconsistent with the organization's profile.
- Escalate concerns to your FIU/compliance team for further review.



SECTION C – **HIGH RISK** **PRODUCTS & SERVICES** IN RETAIL BANKING



Domestic & International Wire Transfers

Wire transfers can be misused to move funds quickly, making them attractive for terrorist financing.



Why They Are High Risk

- Enable fast movement of funds, often within minutes or hours.
- Can be sent domestically or internationally, making tracking more difficult.
- May involve higher amounts compared to other retail payment methods.
- Can be used to support terrorist activities, including funding, recruitment, travel or procurement.



Common Risk Indicators

- Frequent or unusually large wire transfers.
- Transfers to high-risk countries or regions associated with terrorism.
- Rapid movement of funds in and out of the account with no clear purpose.
- Multiple wires just below reporting thresholds (structuring).
- Transfers to individuals or entities with no apparent business or personal relationship.



Customer Due Diligence Considerations

- Understand the purpose of the transfer and the relationship with the beneficiary.
- Evaluate the customer's profile, expected activity and source of funds.
- Review the beneficiary details, including name, location and business activity.
- Assess the reasonableness of the transaction based on the customer's known profile.
- Apply enhanced due diligence for high-risk countries, entities or unusual activity.



Controls and Monitoring

- Use transaction monitoring rules to detect unusual wire activity.
- Screen beneficiaries against sanctions lists and watchlists.
- Identify patterns such as rapid movement of funds or multiple third-party transfers.
- Ensure appropriate approvals and escalations for high-risk or unusual transactions.
- Investigate alerts and file Suspicious Activity Reports (SARs) when warranted.



Cash Deposit & Withdrawal Services

Cash deposit and withdrawal services can be used to introduce, move or access funds for terrorist financing, which makes them higher risk.



Why They Are High Risk

- Cash is anonymous and difficult to trace.
- Can be used to introduce illicit funds into the financial system.
- Allows quick access to funds for terrorist activities.
- Often used in small amounts to avoid detection (structuring).
- May involve third parties or multiple individuals making deposits or withdrawals.



Common Risk Indicators

- Frequent cash deposits just below reporting thresholds.
- Multiple cash deposits or withdrawals on the same day or across branches.
- Use of third parties to conduct cash transactions (e.g., family members, associates).
- Inconsistent with the customer's known profile or stated purpose.
- Large cash withdrawals followed by international transfers or travel.



Customer Due Diligence Considerations

- Understand the customer's source of funds and expected cash activity.
- Assess whether the level and frequency of cash transactions are consistent with the customer's profile, business type and income.
- Identify third-party activity and obtain details on the relationship.
- Review occupation, business nature and geographic risk factors.
- Apply enhanced due diligence (EDD) for high-risk customers or cash-intensive businesses.



Controls and Monitoring

- Monitor for unusual patterns in cash deposits and withdrawals.
- Use system alerts for structuring and threshold activity.
- Review transaction activity across all channels (branch, ATM, mobile, etc.).
- Identify and investigate third-party transactions.
- Escalate unusual or suspicious activity through internal processes and file Suspicious Activity Reports (SARs) when warranted.

Cash Services

Cash Deposits
Cash Withdrawals
Account Services

Cashier's Checks, Money Orders & Other Monetary Instruments

These monetary instruments can be misused to move or conceal funds and may be used to support terrorist financing due to their anonymity, negotiability and ease of transfer.



Why They Are High Risk

- Can be purchased with cash, making it difficult to trace the source of funds.
- Can be used to move funds across branches, regions or countries.
- Are negotiable and can be endorsed to third parties.
- Often used in small amounts (structuring) or large amounts for higher value transfers.
- May be used by individuals or entities with no apparent legitimate purpose.



Common Risk Indicators

- Frequent purchases of cashier's checks or money orders, especially with cash.
- Multiple instruments purchased just below reporting thresholds (e.g., just under USD 10,000).
- Purchases followed by immediate transfer, mailing or shipping to high-risk locations.
- Instruments made payable to third parties with no clear relationship.
- Rapid movement of instruments inconsistent with the customer's profile.



Customer Due Diligence Considerations

- Understand the purpose of the purchase and the intended recipient.
- Assess the source of funds used to buy the instrument (e.g., cash, account funds).
- Review the customer's profile, expected activity and geographic risk factors.
- Identify the recipient and the relationship to the customer.
- Consider whether the transaction is consistent with the customer's business or personal activity.



Controls and Monitoring

- Apply enhanced due diligence (EDD) for high-risk customers, accounts and geographies.
- Monitor for structuring (e.g., multiple instruments just below reporting thresholds).
- Review patterns of purchases, destinations and recipients.
- Use system alerts to identify unusual or high-frequency activity.
- File Suspicious Activity Reports (SARs) when warranted.

CASHIER'S CHECK

UNITED STATES
POSTAL SERVICE®

POSTAL MONEY ORDER

MONEY DRAFT

FINANCIAL TRANSACTIONS

Foreign Currency / Foreign Exchange Services

Foreign currency exchange services can be misused to move or hide funds for terrorist financing.



Why They Are High Risk

- Help convert and move funds across countries.
- Can be used to circumvent sanctions and capital controls.
- Often involve cash transactions.
- May be linked to high-risk countries or regions.



Common Risk Indicators

- Frequent or large currency exchanges.
- Multiple exchanges just below reporting limits.
- Exchange of high-risk currencies.
- Cash used to buy foreign currency.
- No clear purpose for the exchange.



Customer Due Diligence Considerations

- Understand the customer's purpose for the exchange.
- Assess the customer's profile, expected activity and destination country.
- Identify if the customer is linked to high-risk countries or parties.
- Review the size, frequency and pattern of exchanges.



Controls and Monitoring

- Monitor for unusual or high-frequency exchange activity.
- Use sanctions screening to check countries, currencies and counterparties.
- Set limits and require additional approval for large exchanges.
- Investigate and file a Suspicious Activity Report (SAR) when warranted.



Online & Mobile Banking Services

Online and mobile banking services can be misused to move or hide funds quickly, making them attractive for terrorist financing.



Why They Are High Risk

- Allow fast and remote movement of funds.
- Can be used anonymously or by third parties.
- Harder to monitor compared to in-person transactions.
- Can be used across borders.



Common Risk Indicators

- Frequent or large online transfers.
- Multiple small transfers to different people.
- Transfers to high-risk countries or known high-risk parties.
- Use of multiple accounts or devices.



Customer Due Diligence Considerations

- Understand how the customer uses online/mobile banking.
- Assess expected activity and the recipients.
- Check for links to high-risk countries or parties.
- Review unusual patterns or devices used.



Controls and Monitoring

- Use transaction monitoring to detect unusual activity.
- Apply risk-based limits and alerts.
- Review customers with frequent or high-risk transfers.
- Investigate and file SARs when warranted.



Convenience for customers. Greater responsibility for monitoring.

ATM Cash Deposit & Withdrawal Services

ATMs allow customers to deposit or withdraw cash quickly, which can be used to move or layer funds for terrorist financing.



Why They Are High Risk

- Allow quick, self-service cash transactions.
- Can be used to move small amounts frequently (structuring).
- Enable anonymous or low-interaction transactions.
- Available across multiple locations, including domestic and international.



Common Risk Indicators

- Multiple cash deposits just below reporting thresholds.
- Frequent cash withdrawals, especially in high-risk locations.
- Use of multiple ATMs or cards.
- Transactions at unusual hours (e.g., late night or early morning).
- Rapid movement of funds after cash deposits (e.g., transfers or wire payments).



Customer Due Diligence Considerations

- Understand the customer's expected ATM usage and cash activity.
- Review transaction patterns, frequency, amounts and locations.
- Identify use of multiple cards or accounts.
- Consider the customer's occupation, geographic risk factors and overall profile.



Controls and Monitoring

- Monitor for frequent cash deposits or withdrawals just below reporting thresholds.
- Use system alerts for unusual patterns (e.g., multiple ATMs, unusual locations, odd hours).
- Review activity across related accounts and cards.
- Investigate and file a Suspicious Activity Report (SAR) when warranted.



SECTION D – **HIGH RISK** **CUSTOMERS** IN RETAIL BANKING



Politically Exposed Persons (PEPs)

PEPs are individuals who hold or have held prominent public functions and may present higher risk due to their access to public funds and potential for corruption or influence.



Definition

- A Politically Exposed Person (PEP) is an individual who holds or has held a prominent public function, either in the U.S. or a foreign country.
- PEPs may pose a higher risk for money laundering, bribery and corruption due to their access to public funds and influence.



Three Categories of PEPs

- 1 Foreign PEPs**
Individuals who hold or have held prominent public functions in a foreign country.
- 2 Domestic PEPs**
Prominent public functionaries in the United States.
- 3 International Organization PEPs**
Senior officials in international organizations (e.g., UN, World Bank).



Other Key Points

- Includes close family members and known close associates.
- PEP status does not automatically mean high risk; a risk-based approach is required.
- Risk may continue even after the individual leaves the position.
- PEPs can be customers, beneficial owners, or transaction counterparties.



Due Diligence & Monitoring

- Identify PEPs during onboarding and through ongoing monitoring (screening).
- Understand the source of funds and source of wealth.
- Obtain appropriate senior management approval based on risk.
- Conduct enhanced monitoring for activity consistent with the customer's profile.



GOVERNMENT



INFLUENCE



GLOBAL
CONNECTIONS

Cash-Intensive Customers / Businesses

Customers or businesses that regularly deal in large amounts of cash may present higher risk for money laundering and other financial crimes.

Who Are They?

- Individuals or businesses that regularly receive or make large cash payments.
- Often operate in industries where cash is commonly used.
- Includes both new and existing customers.

Why They May Be Higher Risk

- Cash can be used to introduce illicit funds into the financial system.
- Higher risk of depositing structured amounts just below reporting thresholds.
- May be used to disguise the source of funds from illegal activities.
- Can be difficult to identify the true source of cash.

Common Risk Indicators

- Frequent large cash deposits or cash withdrawals.
- Regular transactions just below CTR reporting thresholds.
- High volume of cash transactions with little or no apparent business purpose.
- Inconsistent activity with the customer's profile or stated business.

Due Diligence & Monitoring

- Understand the customer's business activity and cash usage.
- Obtain and review supporting documents (e.g., business licenses, financials).
- Monitor cash transaction patterns and volumes.
- Investigate unusual activity and file a SAR when warranted.

Businesses That Often Use Cash

- Restaurants
- Retail stores
- Hotels
- Gas stations
- Salons and spas
- Car washes
- Convenience stores
- Other cash-based businesses



CASH DEPOSIT

Customers with High-Risk Cross-Border Activity

Customers with frequent or significant international transactions may present higher risk for money laundering, terrorist financing and other financial crimes.



Who Are They?

- Customers who send or receive international transfers regularly or in large amounts.
- Customers with activity involving multiple foreign jurisdictions.
- Cross-border activity should be assessed relative to the customer's expected profile.



Why Risk May Be Higher

- Funds can move quickly across jurisdictions, making them harder to trace.
- Multiple institutions and jurisdictions can reduce transparency on the source and use of funds.
- Risk may increase when transactions involve higher-risk jurisdictions.



Common Risk Indicators

- Transfers to or from higher-risk locations without a clear business or personal purpose.
- Activity inconsistent with the customer's profile or history.
- Unexplained repetitive transfers or unusual patterns.
- Rapid movement of incoming funds to another country.



Due Diligence & Monitoring

- Understand the purpose and expected nature of the customer's international activity.
- Review source of funds and counterparties as appropriate.
- Assess amounts, frequency and origin/destination countries against the customer's profile.
- Monitor for unusual activity and investigate or escalate under bank procedures.
- Cross-border activity alone is not suspicious; assess the overall customer and transaction risk.

International Transfers

- USD → EUR
- USD → GBP
- USD → SGD
- USD → AED
- USD → INR

Customers with Unexplained Third-Party / Money Mule Activity

Customers who receive, hold or transfer funds on behalf of others without a clear and legitimate purpose may be involved in money mule activity and present a higher risk for financial crime.

 Who Are They?	 Why They May Be Higher Risk	 Common Risk Indicators	 Due Diligence & Monitoring
- Customers who receive funds from third parties and quickly transfer to other individuals or accounts. - May include students, recent account openers or individuals with no clear business activity. - Can be used intentionally or unknowingly as a money mule.	- Can be used to move illicit funds and obscure the source of money. - Funds typically move quickly with no clear reason. - Often involves multiple unrelated third parties. - May be linked to scams, fraud or other financial crimes.	- High volume of incoming and outgoing transfers with no apparent purpose. - Funds received from multiple, unrelated individuals. - Quick movement of funds to other accounts (domestic or foreign). - Little or no personal use of the funds. - Inconsistent activity with the customer's profile (e.g., student, unemployed).	- Understand the purpose of the transactions and the customer's source of funds. - Review transaction patterns, including third-party senders and recipients. - Obtain supporting documentation where appropriate. - Monitor for continued unusual activity. - Investigate and file a SAR when money mule activity is suspected.



TRANSFER FUNDS

Customers with Complex or Unexplained Sources of Funds/Wealth

Customers whose source of funds or source of wealth is unclear, inconsistent or difficult to verify may present higher risk for money laundering and other financial crimes.



Who Are They?

- Customers with significant assets or large transactions without a clear or credible source of funds or wealth.
- May include individuals with complex ownership structures or diverse income sources.
- Can be new or existing customers.



Why They May Be Higher Risk

- Illicit funds can be introduced and layered through legitimate accounts.
- May use complex structures to disguise the true source of funds or wealth.
- Increases the risk of money laundering, tax evasion and other financial crimes.



Common Risk Indicators

- Inconsistent or unverifiable source of income or wealth.
- Large deposits or account activity that do not align with the customer's profile.
- Complex ownership structures (e.g., trusts, holding companies).
- Use of multiple accounts or entities without a clear business purpose.



Due Diligence & Monitoring

- Obtain and verify documentation to support the source of funds and source of wealth.
- Understand the customer's business, occupation and ownership structure.
- Review for consistency with the customer's profile and expected activity.
- Conduct enhanced due diligence for higher-risk situations.
- Monitor for unusual or inconsistent activity and update information periodically.

INVESTMENTS

BUSINESS OWNERSHIP

TRUSTS

REAL ESTATE

OTHER ASSETS

Source of Funds

- ☒ Salary / Employment
- ☒ Business Income
- ☒ Investments
- ☒ Inheritance / Gift
- ☒ Sale of Assets
- ☒ Other (please specify)

SECTION E – UNDERSTANDING FINCRIME REDFLAGS & SUSPICIOUS ACTIVITY



RISK INDICATORS

- Unusual activity
- High-risk geography
- Structuring
- Large cash transactions

Wire Transfer	\$250,000	🚩
Cash Deposit	\$9,800	🚩
Third Party Payment	\$45,000	🚩
Multiple Transfers	\$120,000	🚩
International Transfer	\$75,000	🚩
Asset Movement	\$10,000	🚩

- ☒ MONITOR
- ☒ ANALYZE
- ☒ INVESTIGATE
- ☒ REPORT

What Is a Red Flag?

A red flag is an indicator, activity, or behavior that may suggest potential money laundering, terrorist financing, fraud, sanctions evasion, or other financial crime — and therefore requires further review.

Red flags can be identified through:



Customer
behavior



Transaction
activity



Account
information



Geographic
exposure



Third-party
relationships

Red Flag ≠ Suspicious Activity Conclusion

- A red flag is only an indicator and does not confirm criminal activity.
- FinCEN and FFIEC guidance require red flags to be assessed along with customer history, expected activity, and surrounding facts.
- Further review and analysis are needed to determine if the activity is suspicious and requires escalation (e.g., SAR).



Unusual vs. Suspicious

An unusual activity may be uncommon but consistent with the customer's profile or explained by a reasonable reason. A suspicious activity lacks a reasonable explanation and may indicate potential financial crime, requiring escalation.



Unusual Activity

Activity that is out of the normal pattern but can be explained.

- Inconsistent with the customer's usual activity (e.g., higher amount, different location).
- May be a one-time or infrequent transaction.
- Explained by a reasonable and legitimate purpose (e.g., large purchase, travel, medical expense).
- Does not necessarily indicate financial crime.
- Continue to monitor and document the explanation.



Suspicious Activity

Activity that appears unusual and lacks a reasonable explanation.

- No clear or credible explanation for the activity.
- May involve multiple transactions or a pattern of activity.
- May be linked to higher-risk customers, third parties, or jurisdictions.
- May indicate potential money laundering, terrorist financing, fraud, sanctions evasion, or other financial crime.
- Requires further investigation and may need escalation (e.g., SAR filing).



Key Takeaway



Not all unusual activity is suspicious. Consider the customer's profile, expected activity, and surrounding facts before making a decision.

Customer Profile & Transactional Behavior Red Flags

Certain customer characteristics and transaction patterns may indicate higher risk and should be reviewed for potential money laundering, fraud or other financial crimes.



Customer Profile Red Flags

Unusual or inconsistent customer information

- Reluctance to provide complete or accurate information.
- Inconsistent information across documents or during conversations.
- Complex ownership structures (e.g., trusts, shell companies).
- Customer is a PEP or linked to a high-risk jurisdiction.
- Source of wealth or occupation is unclear or does not match the customer's profile.
- New customer with no clear business or account purpose.



Transactional Behavior Red Flags

Unusual transaction patterns

- Large cash deposits or frequent cash transactions.
- Transactions just below reporting thresholds (structuring).
- High volume of incoming and outgoing transfers with no clear business or personal purpose.
- Rapid movement of funds through multiple accounts.
- Frequent international transfers, especially to high-risk countries.
- Unusual use of multiple accounts or third-party transfers.
- Sudden change in transaction volume or pattern.



Other Related Red Flags

Account usage and product behavior

- Account activity inconsistent with the stated purpose or expected customer profile.
- Frequent purchase and redemption of monetary instruments (e.g., cashier's checks, money orders).
- Unusual use of multiple products or services with no apparent need.
- Dormant account suddenly becomes active.
- Early repayment of loans without a clear reason.
- Requests for faster or non-standard transaction processing.

PEP, Family Member, Bribery & Corruption Red Flags

These red flags may indicate increased risk of money laundering, bribery, corruption or other financial crimes and should be reviewed for further due diligence.



PEP Red Flags

Indicators related to Politically Exposed Persons (PEPs)

- Customer is a known or suspected PEP but not disclosed during onboarding.
- The customer holds a prominent public position or has close links to government officials.
- Transactions are inconsistent with the customer's known profile or income.
- Frequent international transfers, especially to higher-risk countries, with no clear purpose.
- Use of complex structures (e.g., shell companies or trusts) to move funds.



Family Member / Close Associate Red Flags

Indicators related to family members and close associates of PEPs

- Customer is a family member (e.g., spouse, child, parent) of a PEP but risk not properly assessed.
- Customer is a known close associate or business partner of a PEP.
- Funds received from or sent to a PEP or their family members/close associates.
- Use of accounts in the name of family members or associates with no clear business purpose.
- Layering of transactions through family members or related entities.



Bribery & Corruption Red Flags

Indicators of potential bribery, corruption or facilitation payments

- Payments to government officials or government-linked entities with no clear legitimate purpose.
- Unusual payments described as "consulting fees", "commissions" or "facilitation fees".
- Payments to third parties in high-risk jurisdictions known for corruption.
- Large cash withdrawals or transfers around the time of winning a government contract.
- Use of shell companies or intermediaries to make or receive payments.



Government Officials



Family Members



Close Associates



Government Contracts



Unusual Payments

DUE DILIGENCE



KYC, CIP & Customer Information Red Flags

The following red flags related to KYC, Customer Identification Program (CIP) and customer information may indicate higher risk and should be reviewed for further due diligence.

1		Customer is reluctant to provide required identification or information.	6		Customer repeatedly changes identifying or contact information without a clear reason.
2		Identification documents appear unusual, altered, expired, or difficult to verify.	7		Customer's stated occupation, business, or account purpose does not match known activity.
3		Name, date of birth, address, or identification number is inconsistent across records.	8		Customer uses multiple identities, identification numbers, or unexplained name variations.
4		Customer provides conflicting information during onboarding or later reviews.	9		Business customer is reluctant to provide information on ownership, controlling persons, or business purpose.
5		Address, phone number, or other contact information cannot be reasonably verified.	10		Bank cannot form a reasonable belief that it knows the customer's true identity.



Unusual Cash Activity Red Flags

The following red flags related to cash activity may indicate higher risk of money laundering or other financial crimes and should be reviewed for further due diligence.

- | | | | | | |
|---|---|--|----|---|---|
| 1 |  | Frequent large cash deposits that are inconsistent with the customer's profile or income. | 6 |  | Repeated movement of cash in and out of the account (cash conversion). |
| 2 |  | Multiple cash deposits just below the CTR reporting threshold (structuring). | 7 |  | Use of multiple branches or ATMs to make cash deposits (possible structuring). |
| 3 |  | Frequent cash deposits followed by quick transfers or withdrawals (no clear business purpose). | 8 |  | Cash activity inconsistent with the customer's occupation, business, or known source of funds. |
| 4 |  | Cash deposits made by third parties on behalf of the customer. | 9 |  | Frequent cash deposits followed by international wire transfers or cross-border payments. |
| 5 |  | Large cash withdrawals inconsistent with the customer's usual activity or stated purpose. | 10 |  | Reluctance to use non-cash payment methods where expected (e.g., checks, electronic transfers). |

Other Fincrim Red Flags

The following are common red flags across various areas. These may indicate higher risk of money laundering, terrorist financing or other financial crimes and should be reviewed for further due diligence.



Structuring, Smurfing & CTR-Avoidance Red Flags

- 1 Multiple cash deposits just below reporting thresholds.
- 2 Frequent small cash deposits across branches or over multiple days.



Rapid Movement & Pass-Through Account Red Flags

- 3 Funds received and quickly transferred out with no clear business purpose.
- 4 High volume of incoming and outgoing transactions with low balances.



Money Mule & Third-Party Fund Aggregation Red Flags

- 5 Multiple individuals send funds into the account with no apparent relationship.
- 6 Account used to receive and transfer funds for third parties (possible money mule activity).



Funnel Account & Geographic Transaction Red Flags

- 7 Account receives funds from many unrelated sources and sends to a single destination (funnel account).
- 8 Transactions with high-risk jurisdictions or inconsistent with the customer's profile.



P2P, Electronic Transfer & Digital Payment Red Flags

- 9 High value or frequent P2P payments to unrelated individuals.
- 10 Use of multiple P2P platforms or e-wallets to move funds with no clear purpose.



Wire Transfer & Cross-Border Transaction Red Flags

- 11 Frequent international wires inconsistent with the customer's profile.
- 12 Wires to or from high-risk countries with no clear business purpose.



Source of Funds & Source of Wealth Red Flags

- 13 Unable or unwilling to explain the source of funds or wealth.
- 14 Reported income or occupation does not appear consistent with account activity.



Personal Accounts Used for Business / Third-Party Activity Red Flags

- 15 Personal account used to receive business-related payments.
- 16 Frequent transactions on behalf of others (e.g., family, friends, third parties).



Shell Company, Offshore Entity & Beneficial Ownership Red Flags

- 17 Account linked to a shell company, offshore entity or complex ownership structure.
- 18 Use of nominees, intermediaries or layered entities to hide the true beneficial owner.



Layering, Circular Transactions & Concealment Red Flags

- 19 Complex transaction patterns with multiple transfers between accounts.
- 20 Return of funds to the original sender or circular movement of funds.

CFT / Terrorist Financing & High-Risk Geographic Red Flags

These indicators may warrant additional review when activity is inconsistent with the customer's profile or lacks a reasonable purpose.

1



Frequent transfers to or from higher-risk jurisdictions without a clear business or personal purpose.

6



International transfers with missing, limited, or unclear originator or beneficiary information when such information would normally be expected.

2



Account activity involving higher-risk locations that is inconsistent with the customer's known profile or history.

7



Foreign currency exchange followed shortly by transfers to higher-risk locations with no apparent connection to the customer.

3



Multiple small funds transfers that appear designed to avoid identification or reporting requirements.

8



Transfers involving unrelated third parties or foreign beneficiaries with no clear economic or legitimate purpose.

4



Many incoming funds or deposits followed by rapid transfers to another country without a clear purpose.

9



Transaction volume, frequency, or type is inconsistent with the customer's occupation, business, expected activity, or stated purpose.

5



Multiple personal, business, charity, or nonprofit accounts collecting funds and funneling them to a small number of foreign beneficiaries.

10



Repetitive or unusual cross-border transaction patterns involving higher-risk geographic locations without a reasonable explanation.

WIRE TRANSFER

HIGH-RISK LOCATIONS

INTERNATIONAL PAYMENTS

Suspicious Activity Indicators

The following are common indicators of suspicious activity. These do not confirm financial crime but may require further review.

 Funnel Account Activity	 Pass-Through Account Activity	 Unexplained High-Value Wire Activity
1 Large number of incoming transfers from multiple unrelated sources followed by quick movement of funds out. 2 Account shows high volume of credits and debits with low or no ending balance.	3 Funds received and quickly transferred out with no clear business purpose. 4 Account activity consistent with movement of funds for third parties with no apparent ownership of funds.	5 Large or frequent wire transfers inconsistent with the customer's profile or stated purpose. 6 Incoming or outgoing wires to or from unknown or high-risk counterparties with no clear reason.
 Personal Account Used for Business Activity	 Unexplained Source of Funds / Wealth	 Potential Terrorist Financing Pattern
7 Personal account receives business related payments (e.g., customer payments, vendor payments). 8 Frequent transactions with multiple businesses or commercial entities in a personal account.	9 Large deposits or account activity that is inconsistent with the customer's known income or occupation. 10 Customer is unable or unwilling to provide a reasonable explanation or documentation for the source of funds.	11 Transactions with individuals or entities in high-risk jurisdictions linked to terrorist activity. 12 Use of multiple small transactions to send funds to higher-risk locations without a clear purpose.
 Money Mule Activity	 Geographically Inconsistent Activity	 Transactions Near Reporting Thresholds
13 Account receives funds from unrelated individuals and quickly transfers them out. 14 Customer appears to be moving funds for others with no clear personal or business purpose.	15 Account activity from locations inconsistent with the customer's known location or travel history. 16 Rapid movement of funds between different countries with no reasonable explanation.	17 Multiple cash transactions just below the CTR reporting threshold. 18 Repeated transactions structured to avoid reporting requirements. 19 Frequent use of different branches or accounts to stay below thresholds. 20 Pattern of transactions that appear designed to evade currency reporting.

